BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) No. 7/ALD of 2023
(First Motion)

Under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF COMPOSITE SCHEME OF

AMALGAMATION OF:

AVENUE SALES PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51109UP2007PTC159127) and having its Registered Office at C/O Arun Kumar Srivastava LIG 19, Vikas Nagar Vistar, Bargadwa, Gorakhpur - 273007, in the State of Uttar Pradesh within the aforesaid jurisdiction;

***** **Transferor Company No 1 of Section A/Applicant No 1**

And

BLACKBASS TRADELINK PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51909UP2010PTC083026) and having its Registered Office at C/O Arun Kumar Srivastava LIG 19, Vikas Nagar Vistar, Bargadwa, Gorakhpur - 273007, in the State of Uttar Pradesh within the aforesaid jurisdiction;

***** **Transferor Company No 2 of Section A/Applicant No 2**

And

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GODHULI RETAILERS PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51909UP2010PTC083027) and having its Registered Office at C/O Arun Kumar Srivastava LIG 19, Vikas Nagar Vistar, Bargadwa, Gorakhpur - 273007, in the State of Uttar Pradesh within the aforesaid jurisdiction;

***** **Transferor Company No 3 of Section A/Applicant No 3**

And

HERITAGE COMMOSALES PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51909UP 2010PTC083029) and having its registered office at C/O Arun Kumar Srivastava LIG 19, Vikas Nagar Vistar, Bargadwa, Gorakhpur - 273007, in the State of Uttar Pradesh within the aforesaid jurisdiction;

***** **Transferor Company No 4 of Section A/Applicant No 4**

And

RAM KRIPAL EXIM PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U74900UP2010PTC039567) and having its registered office at Rayana Regency, Rushtampur Dhala West, Gorakhpur - 273001 within the aforesaid jurisdiction;

***** **Transferor Company No 5 of Section A/Applicant No 5**

And

ARYA TRADECOM PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51109UP2008PTC083028) and

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having its Registered Office at C/O Arun Kumar Srivastava LIG 19, Vikas Nagar Vistar, Bargadwa, Gorakhpur - 273007, in the State of Uttar Pradesh within the aforesaid jurisdiction;

***** **Transferor Company of Section B/Applicant No 6**

And

RAYANA PAPER BOARD INDUSTRIES LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U21011UP1986PLC008433) and having its Registered Office at Rayana Regency, Rushtampur Dhala West, Gorakhpur 273001 within the aforesaid jurisdiction**;**

***** **Transferee Company of Section A and Section/ Applicant No 7**

Order pronounced on: 27.07. 2023

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

For the Applicant Companies: 1. Mr. N. Gurumurthy, FCA

2. Ms. Aisha Amin, Advocate

ORDER

1. This is a joint first motion Application filed by the Applicant Companies namely- **Avenue Sales Private Limited-** Transferor Company No.1 of Section A/Applicant No.1, **Blackbass Tradelink Private Limited-**Transferor Company No.2 of Section A/Applicant No.2, **Godhuli Retailers Private**

Limited-Transferor Company No.3 of Section A/Applicant No.3, **Heritage Commosales Private Limited**-Transferor Company No.4 of Section A/Applicant No.4, **Ram Kripal Exim Private Limited-**Transferor Company No.5 of Section A/Applicant No.5, **Arya Tradecom Private Limited-**Transferor Company of Section B/Applicant No.6, **Rayana Paper Board Industries Limited-**Transferee Company of Section A and Section B/Applicant No.7 under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to **the Composite Scheme of Amalgamation of :**

a) **Avenue Sales Private Limited, Blackbass Tradelink Private Limited, Godhuli Retailers Private Limited, Heritage Commosales Private Limited, Ram Kripal Exim Private Limited (all Transferor Companies) with Rayana Paper Board Industries Limited–Transferee Company in Section A of the Scheme.**

b) Arya Tradecom Private Limited–Transferor Company with Rayana Paper Board Industries Limited–Transferee Company in Section B of the Scheme.

The said Scheme is attached as **Annexure - O** in VOL IV at Page No 508 to 587 of the Application.

2. It is submitted by the Ld. Counsel for the Applicant that the Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders of the Applicant Companies, Secured Creditors of the Applicant Company 1 to 6, Unsecured Creditors of the Applicant Companies and to convene and hold separate meeting of Secured Creditors of the Applicant Company No.1.

3. The Applicant No.1 is presently engaged in sale of services and is earning commission for services rendered. The Applicant No.1 has made deployment of its funds in shares of other Companies which also includes investments in Transferee Company/Applicant No.7. The Applicant No.7 is an Associate Company of Applicant No.1. The Applicant No.1 is an Associate Company of Applicant No.5.

4. The Applicant No. 2 is presently engaged in sale of services and is earning commission for services rendered. The Applicant No. 2 has made deployment of its funds in shares of Applicant No 6. The Applicant No 6 is an Associate Company of Applicant No. 2.

5. The Applicant No. 3 is presently engaged in sale of services and is earning commission for services rendered. The Applicant No. 3 has made deployment of its funds in shares of Applicant No 6. The Applicant No 6 is an Associate Company of Applicant No. 3.

6. The Applicant No. 4 is presently engaged in sale of services and is earning commission for services rendered. The Applicant No. 4 has made deployment of its funds in shares of Applicant No 6. The Applicant No 6 is an Associate Company of Applicant No. 4.

7. The Applicant No. 5 is presently engaged in sale of services and is earning commission for services rendered. The Applicant No. 5 has made deployment of its funds in shares of Applicant No. 6. The Applicant No.6 is an Associate Company of Applicant No. 5.

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8. The Applicant No. 6 is presently engaged in sale of services and is earning commission for services rendered. The Applicant No. 6 has made deployment of its funds in shares of Transferee Company. The Applicant No. 6 has substantial interest in Transferee Company of Section B. The Applicant No 6 is an associate company of Applicant No 2, Applicant No 3 and Applicant No 4.

9. The Applicant No. 7 is presently engaged in manufacturing cum selling of paper Board. The Applicant No.7 has made deployment of its funds in shares of Applicant No 6. The Applicant No 7 is an Associate Company of Applicant No 1 of Section A.

10. The Ld. Counsel for the Applicant submits that the Applicant Companies are all closely held family owned and controlled Companies.

11. It is submitted by the Ld. Counsel for the Applicants that the registered offices of all the Applicant Companies are situated in the State of Uttar Pradesh. Hence, the jurisdiction of Applicant Companies lies with this Bench.

12. The rationale of the Scheme is given below:

IN RELATION TO SECTION A OF THE SCHEME

a) The Transferor Companies are closely held family-owned controlled companies. The Transferee Company is also a closely held family-owned controlled company wherein the entire shares of the company are held by the family members and their HUF of which they are members. The Transferee Company is an associate of Transferor Company No.1.

b) This Composite Scheme of Amalgamation is proposed to scale down the number of companies in the family and to have one big company for better management and for proper and timely compliance.

c) The business of the Transferor Companies and the Transferee Company can be combined/adjusted and carried forward conveniently with combined strength;

d) The amalgamation will enable the Transferee Company to consolidate its line of business by

restructuring and re-organizing its business activities and Capital Structure;

e) The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the Transferee Company;

f) The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;

g) The business of the Transferor Companies can be conveniently and advantageously combined together in general business of the Company concerned and will be carried on more economically and profitably under the said Composite Scheme;

h) The said Composite Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the company concerned. The said

Composite Scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small Companies for raising capital, securing and conducting trade on favorable terms and other benefits;

i) The said Composite Scheme will contribute in furthering and fulfilling the objects of the Company concerned and, in the growth, and development of these businesses;

j) The said Composite Scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability;

k) The said Composite Scheme will enable the undertakings concerned to pool their resources and to expand their activities;

l) The said Composite Scheme will enable the Companies concerned to rationalize and streamline their management, business and

finances and to eliminate duplication of work to their common advantages;

m) The said Composite Scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned.

IN RELATION TO SECTION B OF THE SCHEME

a) The Transferor Company No. 2, The Transferor Company No. 3 and the Transferor Company No. 4 of Section A are the promoters of the Transferor Company of Section B. Upon Amalgamation of The Transferor Company No. 2, The Transferor Company No. 3 and The Transferor Company No. 4 with the Transferee Company the entire shares of the Transferor Company will be held by the Transferee Company. Thus, the Transferor Company is merged with the Transferee Company as the entire shares are held by it.

b) The business of the Transferor Companies and the Transferee Company can be

combined/adjusted and carried forward conveniently with combined strength;

c) The amalgamation will enable the Transferee Company to consolidate its line of business by restructuring and re-organizing its business activities and Capital Structure;

d) The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the Transferee Company;

e) The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;

f) The business of the Transferor Companies can be conveniently and advantageously combined together in general business of the Company concerned and will be carried on more economically and profitably under the said Composite Scheme;

g) The said Composite Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the company concerned. The said Composite Scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small Companies for raising capital, securing and conducting trade on favorable terms and other benefits;

h) The said Composite Scheme will contribute in furthering and fulfilling the objects of the Company concerned and, in the growth, and development of these businesses;

i) The said Composite Scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability;

j) The said Composite Scheme will enable the undertakings concerned to pool their resources and to expand their activities;

k) The said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

n) The said Composite Scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned.

13. It is stated that the Board of Directors of the Applicant Companies in their respective meetings held on 10th November, 2022 have considered and unanimously approved the proposed Composite Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are all annexed with the Company Application as **Annexure - P** in VOL IV at Page No 588 to 605.

14. The appointed date of the Scheme is 01st April, 2022 as mentioned in the Para 1(b) in Part II under definition in Section A of the Composite Scheme of Amalgamation at Page No 516 in VOL IV and Para 1(b) in Part VII under definition in Section B of the Composite Scheme of Amalgamation at Page No 551 in VOL IV which is annexed as **Annexure – O** with the application.

15. It is stated that the Applicant Companies have filed their Audited Financial Statements as on 31st March, 2022 and the same are annexed as **Annexure B, Annexure D, Annexure F, Annexure H, Annexure J, Annexure L and Annexure N** with the Application.

16. It is further submitted that Un-Audited Financial Statements of the Applicant Companies made up to 30th September, 2022 are annexed as **Annexure: B1, Annexure D1, Annexure F1, Annexure H1, Annexure J1, Annexure L1, and Annexure N1** with the Application.

17. It is further submitted that no corporate debt restructuring is envisaged in the proposed Scheme of Amalgamation.

18. It is submitted that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant

Companies have filed Certificates all dated 12th November, 2022 issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under section 133 of the Act and the same are annexed as **Annexure – AG** with Application.

19. It is further submitted by the Counsel for the Applicant Companies that as per the Valuation Report/Share Exchange Ratio Report dated 31st October, 2022 submitted by CA MUKESH BANKA, Registered Valuer bearing Registration No. IBBI/RV/06/2019/12905 which is attached as **Annexure - Q** of the application.

20. It is submitted that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 8 of the Part III under Section A of the Scheme and Paragraph 8 of the Part VIII under Section B of the Scheme (Annexure –O, VOL IV, Page No 538 and 565).

21. It is deposed by the Authorised Signatory for the Applicant Companies that there is no inspection, inquiry, investigations or legal proceedings pending against the

Applicant Companies under Section 210 to 227 of the Companies Act, 2013 and Section 235 to 251 of the Companies Act, 1956 and other applicable provisions of the Companies Act, 1956/2013.

22. It is submitted by the Ld. Counsel for the Applicants that there is no sectoral regulator in any of the Applicant Companies whose approval may be required for the sanction of the Composite Scheme of Amalgamation except the statutory authorities i.e. (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; and (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department, under whose jurisdiction the Applicant Companies are assessed.

23. The Applicant Companies have furnished the following documents: -

a) Proposed Scheme of Amalgamation (Annexure – O, VOL-IV at Page No 508 to 587 of the Company Application).

b) Certificate of Incorporation along with Memorandum and Articles of Association of the Applicant Companies (Annexure – A, VOL-I at Page No 65 to 83, Annexure – C, VOL-I at Page No 120 to 138, Annexure – E, VOL-II at Page No 175 to 193, Annexure – G, VOL-II at Page No 229 to 247, Annexure – I, VOL-II at Page No 282 to 302, Annexure – K, VOL-II at Page No 333 to 351, Annexure – M, VOL-III at Page No 389 to 425 of the Company Application).

c) List of equity shareholders of the Applicant No 1 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - R - VOL IV at Page No 625 to 648 of the Company Application).

d) List of equity shareholders of the Applicant No 2 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting.

(Annexure- S-, VOL IV at Page No 649 to 658 of the Company Application).

e) List of equity shareholders of the Applicant No 3 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure- T, VOL IV at Page No 659 to 671 of the Company Application).

f) List of equity shareholders of the Applicant No 4 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - U - VOL IV at Page No 672 to 684 of the Company Application).

g) List of equity shareholders of the Applicant No 5 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure- V-, VOL IV at Page No 685 to 694 of the Company Application).

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h) List of equity shareholders of the Applicant No 6 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure- W, VOL V at Page No 695 to 710 of the Company Application).

i) List of equity shareholders of the Applicant No 7 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - X - VOL V at Page No 711 to 797 of the Company Application).

j) Nil Secured Creditors of the Applicant No 1 duly certified by the Chartered Accountant. (Annexure – Y, VOL V at Page No 798 of the Company Application).

k) List of Unsecured Creditors of the Applicant No 1 along with respective consent affidavits of Unsecured Creditors approving the Scheme and dispensing with the requirement to convene the meeting duly certified

by the Chartered Accountant. (Annexure – Y, VOL V at Page No 799 to 803 of the Company Application).

l) Nil Secured Creditors and Unsecured Creditors of the Applicant No 2 duly certified by the Chartered Accountant. (Annexure – Z, VOL V at Page No 804 of the Company Application).

m) Nil Secured Creditors and Unsecured Creditors of the Applicant No 3 duly certified by the Chartered Accountant. (Annexure – AA, VOL V at Page No 805 of the Company Application).

n) Nil Secured Creditors and Unsecured Creditors of the Applicant No 4 duly certified by the Chartered Accountant. (Annexure – AB, VOL V at Page No 806 of the Company Application).

o) Nil Secured Creditors of the Applicant No 5 duly certified by the Chartered Accountant. (Annexure – AC, VOL V at Page No 807 of the Company Application).

p) List of Unsecured Creditors of the Applicant No 5 along with respective consent affidavits of Unsecured Creditors approving the Scheme and dispensing with

the requirement to convene the meeting duly certified by the Chartered Accountant. (Annexure – AC, VOL V at Page No 807 to 819 of the Company Application).

q) Nil Secured Creditors and Unsecured Creditors of the Applicant No 6 duly certified by the Chartered Accountant. (Annexure – AD, VOL V at Page No 820 of the Company Application).

r) List of Secured Creditors and Unsecured Creditors of the Applicant No 7 along with respective consent affidavits of Secured Creditors and Unsecured Creditors approving the Scheme and dispensing with the requirement to convene the meeting duly certified by the Chartered Accountant. (Annexure – AE, VOL V at Page No 821 to 916 of the Company Application).

s) Audited Financial Statement as on 31st March, 2022 and Unaudited Financial Statement (Provisional) as on 30th September, 2022 of the Applicant Companies (Annexure- B in VOL I at page No 84 to 111, Annexure - B1 in VOL I at page No 112 to 119,

Annexure - D in VOL I at page No 139 to 165, Annexure- D1 in VOL I at page No 166 to 174 , Annexure - F in VOL II at page No 194 to 220, Annexure - F1 in VOL II at page No 221 to 228, Annexure - H in VOL II at page No 248 to 273, Annexure – H1 in VOL II at page No 274 to 281, Annexure - J in VOL II at page No 303 to 326 , Annexure - J1 in VOL II at page No 327 to 332, Annexure - L in VOL III at page No 352 to 380, Annexure - L1 in VOL III at page No 381 to 388, Annexure - N in VOL III at page No 426 to 492, Annexure - N1in VOL III at page No 493 to 507 respectively of the Company Application).

t) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (Annexure - Q, VOL IV at Page No 606 to 624 of the Company Application).

u) Certified true copy of extract of the minutes of the board resolution of the Applicant Company approving the Scheme (Annexure- D, VOL II at Page No 135 of the Company Application).

v) Affidavit that there are no pending investigation, winding up application and compromise with the creditors (Annexure – AF, VOL V at Page No 917 to 921 of the Company Application).

w) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure - AG, VOL V at Page No 922 to 942 of the application).

24. It is submitted by the Ld. Counsel for the Applicants that the Transferee Company/Applicant No.7 had 39 Unsecured Creditors aggregating to Rs 23,73,77,878/-. It is further submitted that out of 39 Unsecured Creditors, 11 Unsecured Creditors aggregating to Rs 3,60,38,791/- have been paid off prior to the filing of the Company Application (VOLV Page No 916). Further remaining 28 Unsecured Creditors aggregating to Rs 20,13,39,087/- have given their 100% consent to the proposed Scheme of Amalgamation by way of affidavit.

25. It is submitted by the Ld. Counsel for the Applicants that the Applicant Companies had following class of shareholders and creditors:

	SHAREHOLDERS ALONG WITH THEIR CONSENT ON AFFIDAVIT			
PARTICULARS	EQUITY SHARE HOLDERS 31-10-2022	CONSENTS SUBMITTED ON AFFIDAVIT	PREFERENCE SHARE HOLDERS 31-10-2022	CONSENTS SUBMITTED ON AFFIDAVIT
SECTION A				
TRANSFEROR COMPANY NO.1/APPLICANT NO 1	7	100%	NIL	N/A
TRANSFEROR COMPANY NO.2/APPLICANT NO 2	3	100%	NIL	N/A
TRANSFEROR COMPANY NO.3/APPLICANT NO.3	4	100%	NIL	N/A
TRANSFEROR COMPANY NO.4/APPLICANT NO.4	4	100%	NIL	N/A
TRANSFEROR COMPANY NO.5/APPLICANT NO.5	3	100%	NIL	N/A
SECTION B				
TRANSFEROR COMPANY/APPLICANT NO.6	3	100%	NIL	N/A
SECTION A & SECTION B				
TRANSFEREE COMPANY/APPLICANT NO.7	27	100%	NIL	N/A

	CREDITORS ALONG WITH THEIR CONSENTS ON AFFIDAVIT			
PARTICULARS	SECURED CREDITORS 31-10-2022	CONSENTS SUBMITTED ON AFFIDAVIT	UNSECURED CREDITORS 31-10-2022	CONSENTS SUBMITTED ON AFFIDAVIT
SECTION A				

TRANSFEROR COMPANY NO.1./APPLICANT NO.1	NIL	NA	1	100%
TRANSFEROR COMPANY NO.2/APPLICANT NO.2	NIL	NA	NIL	NA
TRANSFEROR COMPANY NO.3/APPLICANT NO.3	NIL	NA	NIL	NA
TRANSFEROR COMPANY NO.4/APPLICANT NO.4	NIL	NA	NIL	NA
TRANSFEROR COMPANY NO.5/APPLICANT NO.5	NIL	NA	4	100%
SECTION B				
TRANSFEROR COMPANY/APPLICANT NO.6	NIL	NA	NIL	NA
SECTION A & SECTION B				
TRANSFEREE COMPANY/APPLICANT NO.7	1	MEETING	39**	100%
NOTE: **11 Creditors have been paid off prior to filing of Company Application. Consent by remaining 28 Creditors.				

26. While hearing the matter, the Ld. Counsel representing the Applicant Companies stated that there is a consent given by the only Secured Creditor i.e. the HDFC Bank, and therefore, it meets the 100% consent in favour of the scheme. However, while perusing the record with the able assistance of the Ld. Counsel representing the Applicants, it was found that the consent affidavit has been signed by one Mr. Sandeep Kumar Verma Manager giving consent in favour of dispensation of the meetings for the approval of

the scheme. When the matter came up for hearing on Wednesday i.e. 12th July, 2023, the Ld. Counsel for the Applicant Companies has sought time to file a resolution on behalf of the HDFC Bank authorizing the aforesaid Mr. Sandeep Kumar Verma to be the authorized representative to give consent on behalf of HDFC Bank.

27. The matter was listed on 17th July, 2023 and by then a supplementary affidavit vide Diary No.1830 dated 17th July, 2023 has been filed where however a letter was placed on record given by the Branch Manager of HDFC Bank stating therein that Mr. Sandeep Kumar Verma is the Authorized Representative as per the Resolution of the Bank. However, again, there no resolution as stated was placed on record and the communication was only from the Branch Manager of the Bank in favour of the Manager of the Bank only on the letter pad of the Bank.

28. It was stated by the Ld. Counsel representing the Applicant Companies that the financial institutions like HDFC Bank passed resolutions at the Board/Head Office Level authorizing certain representatives to act on behalf of the Bank, which he is not able to place on record. Since

there is no resolution of the Board in favour of Mr. Sandeep Kumar Verma. Therefore, faced with this situation, the Ld. Counsel representing the Applicant Companies stated that in view of the facts and circumstances, he makes a statement that the meeting of the Secured Creditor with respect to the transferee company may kindly be directed to be held so that the competent authority of the Bank may nominate, their authorized representative to participate in the meeting for consideration for approval of the scheme.

29. We have considered the aforesaid statement made by the Ld. Counsel representing the Applicants and therefore deem it fit to direct the Applicant Companies to hold a meeting of the Secured Creditor viz. with respect to the HDFC Bank for the transferee company. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Transferor Company No 1 for Section A/Applicant Company No. 1:

a) The meeting of the Equity Shareholders of Transferor Company/Applicant Company No. 1 is dispensed herewith, keeping in view that all Equity

Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company/Applicant Company No. 1, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of Transferor Company/Applicant Company No. 1 is dispensed herewith, keeping in view that 100% in value of the Unsecured Creditors of Transferor Company/Applicant Company No. 1 have given their consents by way of affidavits.

ii. In relation to the Transferor Company No 2 for Section A/Applicant Company No. 2:

a) The meeting of the Equity Shareholders of Transferor Company No 2/Applicant Company No.2 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No 2/Applicant Company

No.2, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Unsecured Creditors in the Transferor Company No 2/Applicant Company No.2, the requirement of convening the meeting Unsecured Creditors does not arise.

iii. In relation to the Transferor Company No.3 for Section A/Applicant Company No. 3:

a) The meeting of the Equity Shareholders of Transferor Company No 3/Applicant Company No.3 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No.3/Applicant Company No.3, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Unsecured Creditors in the Transferor Company No.3/Applicant Company No.3, the requirement of convening the meeting Unsecured Creditors does not arise.

iv. In relation to the Transferor Company No 4 for Section A/Applicant Company No. 4:

a) The meeting of the Equity Shareholders of Transferor Company No.4/Applicant Company No.4 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No.4/Applicant Company No.4, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Unsecured Creditors in the Transferor Company No.4/Applicant Company No.4, the requirement of convening the meeting Unsecured Creditors does not arise.

v. In relation to the Transferor Company No 5 for Section A/Applicant Company No. 5:

a) The meeting of the Equity Shareholders of Transferor Company No.5/Applicant Company No.5 is dispensed herewith, keeping in view that all

Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No.5/Applicant Company No.5, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of Transferor Company No.5/Applicant Company No.5 is dispensed herewith, keeping in view that 100% in value of the remaining Unsecured Creditors of Transferor Company No.5/Applicant Company No. 5 have given their consents by way of affidavits.

vi. In relation to the Transferor Company for Section B/Applicant Company No. 6:

a) The meeting of the Equity Shareholders of Transferor Company No.6/Applicant Company No.6 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No.6/Applicant Company No.6, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Unsecured Creditors in the Transferor Company No.6/Applicant Company No.6, the requirement of convening the meeting Unsecured Creditors does not arise.

vii. In relation to the Transferee Company for Section A and Section B/Applicant Company No. 7:

a) The meeting of the Equity Shareholders of Transferee Company/Applicant Company No. 7 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) The meeting of the Secured Creditors of Transferee Company/Applicant Company No. 7 be convened as prayed for on **Saturday, 16th September, 2023 at 11:00 A.M.** at Radisson Blu Gorakhpur, Airport Road, Mohaddipur Rd, Mohaddipur, Gorakhpur, Uttar Pradesh 273008. The quorum of the meeting

of the Secured Creditors shall be 1 in number. For computing the quorum, secured creditors present through valid proxy shall also be considered.

c) The meeting of the Unsecured Creditors of Transferee Company/Applicant Company No. 7 is dispensed herewith, as 11 Unsecured Creditors have been paid off prior to filing of Company Application and keeping in view that 100% in value of the remaining Unsecured Creditors of Transferee Company/Applicant Company No. 7 have given their consents by way of affidavits.

viii. In case the required quorum as noted above for the meetings is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the creditor(s) present and voting shall be deemed to constitute the quorum.

ix. Mr. Shivendra Bahadur, Advocate (Mobile No.7355124069, email id: bahadurshivendra@gmail.com) is appointed as the Chairperson for the meeting to be called under this order. An amount of Rs.1,00,000/-(Rs. One lakh) be paid for his services as the Chairperson.

The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting(s) or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme of Amalgamation, if any, proposed by any persons.

x. Mr. Anil Kumar, Practicing Company Secretary, (Mobile No.9415306147, email id: purswanianil@gmail.com) is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of Rs.75,000/- (Rs. Seventy Five Thousand) be paid for his services as the Scrutinizer.

xi. Apart from the above remuneration, the Applicant Company shall make necessary and proper arrangements for travel / transport, stay and other allied expenses.

xii. It is further directed that individual notices of the said meetings shall be sent by the Applicant Company

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through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and time as aforesaid, together with a copy of the Scheme, copy of the explanatory statement, Report on Valuation of Shares and Share Exchange Ratio of the Registered Valuer as discussed in Para 14 of this order, form of proxy and documents required to be sent under the Companies Act, 2013 and the applicable Rules made thereunder.

xiii. It is further directed that along with the notices, the Applicant Company shall also send statements explaining the effect of the scheme on the creditors, shareholders, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the scheme of arrangement on any material interests of the Directors of the Applicant Company provided under sub-section (3) of Section 230 of the Act.

xiv. It is further directed that the provisional Accounting Statement of the Applicant Company be also circulated

along with the Notice of the aforesaid meetings in terms of Section 232(2) (e) of the Companies Act, 2013.

xv. That the Applicant Company shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and place and the time of the meeting as aforesaid, to be published in "Times of India" (Gorakhpur Edition) and "Amar Ujala" (Gorakhpur Edition). It shall be stated in the advertisement that the copies of "Scheme", the Explanatory Statement required to be furnished can be obtained free of charge at the registered office of the Applicant Company pursuant to Section 230 to 232 of the Act. The Applicant Company shall also host the notice on the website, if any.

xvi. It shall be the responsibility of the Applicant Company to ensure that the notices are sent under the signature and supervision of the authorized representative of the Applicant Company on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least seven days before the date fixed for the meeting.

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xvii. At the venue of the meetings held physically, voting shall be conducted physically through poll by polling paper and the Secured Creditors present in person or by proxy shall be entitled to vote thereat. Subject to the directions and matters dealt with herein, the procedure for voting by polling paper and conduct of voting at the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme of Amalgamation.

xviii. The Scrutinizer's report will contain his/her findings on the compliance to the directions given in Para xi to xvii above.

xix. The Chairperson shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within

15 (Fifteen) days of the conclusion of the meeting. The Chairperson would be fully assisted by the authorized representative/Company Secretary of the Applicant Company and the Scrutinizer in preparing and finalizing the reports.

xx. The Applicant Companies shall individually and in compliance of sub-section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax Department having jurisdiction over the Applicant Companies by mentioning the PAN number of the Applicant Companies; and to such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice

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and copy of such report shall be simultaneously sent to the Applicant Companies, failing which it shall be presumed that they have no objection to the proposed Scheme.

xxi. The Applicant Company shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any creditor or member/shareholder entitled to attend the meeting as aforesaid.

xxii. The Authorized Representative of the Applicant Company shall furnish an Affidavit of Service of Notice of Meeting and publication of advertisement and compliance of all directions contained herein at least seven days before the date fixed for the meetings.

xxiii. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Company.

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xxiv. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder. The appropriate prayer would also be made in the second motion petition for publication in newspaper.

30. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied to the learned counsel for the Applicant Company who in turn shall supply a copy of the same to the Chairperson and the Scrutinizer immediately.

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(ASHISH VERMA)	**(PRAVEEN GUPTA)**
Member (Technical)	**Member (Judicial)**

Aditi Kharbanda
(LRA)